

MINISTRY OF LABOUR AND EMPLOYMENT

NOTIFICATION

New Delhi, the 29th June, 2026

G.S.R. 525(E).— In exercise of the powers conferred by clause (a) of sub-section (1) of section 15 of the Code on Social Security (36 of 2020) and in supersession of the Employees' Provident Funds Scheme, 1952, except as respects things done or omitted to be done before such supersession, the Central Government, hereby makes the following Scheme, namely.

CHAPTER I

Preliminary

1. Short title, commencement and application.— (1) This Scheme may be called the Employees' Provident Funds Scheme, 2026.

(2) It shall come into force on the date of its publication in the Official Gazette.

(3) Subject to the provisions of sections 20, 21 and 143 of the Code, this Scheme shall apply –

- (i) to every establishment, to which the Chapter III of the Code applies; and
- (ii) to every establishment belonging to or under the control of the Central Government or State Government or set up under any Central Act or State Act or any other law for the time being in force, employing such number of employees as specified in the First Schedule to the Code and whose employees are not entitled to the benefits of contributory provident fund or old age pension in accordance with any scheme or rules framed under that law.

2. Definitions.— (1) In this Scheme, unless the context otherwise requires: —

- (a) “authorised signatory” means an employee of the establishment concerned legally empowered by the employer of an establishment to sign any return or document on behalf of the employer or the establishment, as the case may be and such actions shall be legally binding on the employer as well as the establishment;
- (b) “board of trustee” means the legal entity consisting of the Chairperson and members of the trust constituted under sub- section (5) of section 143 of the Code;
- (c) "child" means the legitimate child and includes adopted child, if the Commissioner is satisfied that adoption of a child is legally recognized under the personal law of the member;
- (d) “Code” means the Code on Social Security, 2020;
- (e) "Commissioner " means a Commissioner for Employees' Provident Fund appointed under section 14 of the Code;
- (f) "Excluded employee" means,-
 - (i) an employee whose wage at the time he is otherwise entitled to become a member of the Fund, exceeds wage ceiling as prescribed under the Code;
 - (ii) in case of an International Worker who, as a citizen or resident of their country of origin, contributes to a social security programme of that country with which India has entered—
 - (A) into a social security agreement on a reciprocity basis, and who enjoys the status of a detached worker for the period and terms specified in such agreement; or

(B) into a bilateral comprehensive economic agreement containing a clause on social security prior to the 1st day of October, 2008, which specifically exempts natural persons of either country from contributing to the social security fund of the host country;

- (g) “exempted establishment” means an establishment exempted under section 143 of the Code;
- (h) “financial year” means the year commencing on the first day of April;
- (i) “Fund” means the Provident Fund established under this Scheme;
- (j) “International Worker” means—
 - (i) an employee other than an Indian employee, holding other than an Indian Passport, working for an establishment in India, to which the Code applies;
 - (ii) an Indian employee having worked or going to work in a foreign country with which India has entered into a social security agreement and being eligible to avail the benefits under a social security programme of that country, by virtue of the eligibility gained or going to gain, under the said agreement;

Provided that the worker, who is a Nepalese national on account of Treaty of Peace and Friendship of 1950 and the worker, who is a Bhutanese national on account of India-Bhutan Friendship Treaty of 2007, shall be deemed to be an Indian worker;

- (k) “member” means a member of the Fund;
 - (l) “principal employer” means an employer with whom employees are engaged by or through a contractor and shall include.—
 - (i) in relation to any office or Department of the Government or a local authority, the head of that office or Department or such other officer as the Government or the local authority, may specify in this behalf;
 - (ii) in a factory, the owner or occupier of the factory and where a person has been named as the manager of the factory, the person so named;
 - (iii) in a mine, the owner or agent of the mine;
 - (iv) in relation to any other establishment, any person who has the ultimate control over affairs of the establishment.
 - (m) “Repealed Act” means the Employees’ Provident & Miscellaneous Provisions Act, 1952 (19 of 1952);
 - (n) “Scheme” means the Employees Provident Funds Scheme framed under section 15 of the Code;
 - (o) “SEBI” means the Securities and Exchange Board of India established under section 3 of the Securities and Exchange Board of India Act, 1992 (15 of 1992)
 - (p) “trustee” means a member of the “board of trustees; and
 - (q) “Universal Account Number” (UAN) means an identity number allotted to an employee on a permanent basis in the form and manner specified by the Central Provident Fund Commissioner.
- (2) All the other words and expressions used and not defined in this Scheme, but defined in the Code, shall have the same meanings respectively as assigned to them in the Code and rules framed thereunder.

CHAPTER II

OFFICERS OF CENTRAL BOARD

- 3. Central Provident Fund Commissioner and Financial Adviser and Chief Accounts Officer.**—The Central Provident Fund Commissioner and the Financial Adviser and Chief Accounts Officer shall not undertake any work unconnected with their office without the previous sanction of the Central Government.
- 4. Regional and local offices.**—The Central Board may, establish such regional and local offices as it may consider necessary for the implementation of the Scheme and may specify the functions and duties of such offices.
- 5. Appointment of officers and employees of the Central Board.**—The Central Board shall appoint officers and employees up to the level of posts equivalent to Joint Secretary of the Government of India.
- 6. Information of appointment to Central Board.**—Appointment of officers of the level of the Regional Provident Fund Commissioners and above made by the Chairperson, Central Board shall be placed before the next meeting of the Central Board for information.
- 7. Administrative and financial powers of Commissioner.**— (1) Subject to the budget allocation and limits authorised by the Central Board, the Commissioner shall, sanction expenditure on contingencies, supplies and services and purchases essential for administering the Fund.
- (2) The Commissioner may exercise such administrative and financial powers other than those specified in sub-paragraph (1), as may be delegated to him from time to time by the Central Board.
- 8. Staff Provident Fund and other benefits.** The Staff Provident Fund established under the Provident Fund Act, 1925 in respect of officers and employees of the Central Board and Pension-cum-Gratuity Fund and any other fund constituted for the benefit of the employees of the Central Board under the Employees' Provident Fund and Miscellaneous Provisions Act, 1952 (19 of 1952) shall be deemed to be constituted under sub section (4) of section 120 of the Code.

CHAPTER III

MEMBERSHIP

9. Membership of the fund.—

Subject to clause (f) of paragraph 2 of this Scheme,—

- (1) Every employee, who was a member or was required to be a member of the EPF Scheme, 1952 till the date of cessation of the said Scheme, shall be a member of this Scheme.
- (2) Every employee, employed in or in connection with the work of an establishment, to which this Scheme applies, is entitled and required to become a member of the Fund from the day this Scheme comes into force in such establishment or from the date of joining the establishment, whichever is later.

- (3) Every excluded employee or an exempted employee shall become a member of this Fund forthwith on ceasing to be an excluded employee or an exempted employee.
- (4) Notwithstanding anything contained in this paragraph, any employee and his employer may jointly opt in writing, to enrol such employee as a member or allow him to contribute on such wages exceeding wage ceiling limit and thereupon such employee shall be entitled to the benefits and be subject to the conditions of the Fund:

Provided that the employer shall pay the administrative charges and comply with all statutory provisions in respect of such employee.

- (5) Every International Worker,—
- (i) who was a member of the Employees' Provident Fund Scheme, 1952 shall be a member of this Scheme;
 - (ii) employed in or in connection with the work of an establishment to which this Scheme applies shall be entitled and required to become a member of this Scheme in such establishment or from the date of joining the establishment, whichever is later;
 - (iii) excluded employee or exempted employee shall become a member of this Scheme forthwith on ceasing to be an excluded employee or an exempted employee.
- (6) In case of an International Worker, an employee carrying out an employed activity in a country listed in the Table below, having signed a bilateral agreement on social security contributions with India and being subject to the Code, shall, along with the employer, pay contributions on the total wages as defined in sub-section (88) of section 2 of the Code, if they are willing to take benefit of detachment under the said agreement.

Table

Sl. No.	Name of country
1.	The United Kingdom of Great Britain and Northern Ireland

10. Retention of membership.— (1) A member of this Scheme shall continue to be a member until he withdraws under paragraph 49, the amount standing to his credit in the Fund or is covered by a notification of exemption under section 143 of the Code or paragraph 12 of this Scheme;

(2) An International Worker shall continue to be a member of this Scheme, until,—

- (i) withdraw under paragraph 49, the amount standing to the credit in the Fund;
- (ii) covered by a notification of exemption under section 143 of the Code or an order of exemption under paragraph 12 of this Scheme; or
- (iii) settled the benefits in terms of the provisions under a social security agreement entered into between India and the country of origin.

11. Resolution of questions about membership.— (1) Where any question arises as to whether an employee is entitled or required to become or continue as a member, or to the date from which the member is entitled or required to become a member, the matter shall be referred to the Regional Provident Fund Commissioner, who shall decide the question after giving an opportunity of being heard to both the employer and the employee:

Provided that if such dispute also involves whether an employee working in or in connection with the work of an establishment covered or coverable under the Employees Provident Fund Scheme, 1952, was entitled or required to become a member of the Fund up to the date of cessation of the said Scheme, the same shall be resolved in accordance with the rules of membership of the ceased Scheme for such period.

(2) In case of International Worker, any question which arises whether an International Worker is entitled or required to become or continue as a member, or as regards the date from which the worker is so entitled or required to become a member, the same shall be referred to the Regional Provident Fund Commissioner, who shall decide the matter after giving opportunity of hearing to both the employer and the International Worker and such hearing, if any, shall be held in India:

Provided that if such dispute involves the question whether an International Worker, working in or in connection with the work of an establishment covered or coverable under the Employees' Provident Fund Scheme, 1952, was entitled or required to become a member of the Fund up to the date of cessation of the said Scheme, the same shall be resolved in accordance with the provisions of the ceased Scheme and shall be treated as membership for benefits under this Scheme.

(3) No proceeding under sub-paragraph (1) and (2) shall be initiated after the expiry of the period of five years on which the dispute is alleged to have arisen:

Provided that all existing inquiries or hearing under paragraph 26B of the EPF Scheme, 1952 at the time of commencement of this Scheme shall be concluded within two years from the date of coming into force of the Code.

CHAPTER-IV

EXEMPTION

12. Exemption of employee or class of employees. — (1) Upon receipt of an application in **Form-I** from the employee, the appropriate Government may, by notification and subject to such conditions as may be specified in the order, exempt from the operation of all or any of the provisions of this Scheme:

Provided that such exemption shall be granted where the employee is entitled to benefits under the rules of the establishment which separately or jointly are substantially similar or superior to the benefits provided under the Code and this Scheme.

Provided further that an employee exempted under sub-paragraph (1) may, by an application to the Commissioner, make a declaration that he shall become a member of the Fund;

Provided further that no employee shall be granted exemption or permitted to opt out of such exemption more than once on the same account.

(2) Where exemption is granted, the employer shall—

- (i) maintain accounts;
- (ii) submit returns in electronic format in **Form-II**;
- (iii) provide facilities for inspection;
- (iv) pay inspection charges; and
- (v) invest provident fund collections in the manner directed by the Central Government.

(3) No exemption for a class of employees shall be granted unless consent of the majority of such employees is submitted by the establishment.

13. Terms and conditions after exemption.— (1) The employer shall establish a board of trustees under his Chairmanship for the management of the Provident Fund.

(2) The board of trustees shall be responsible and accountable to the Employees' Provident Fund Organisation for accounting of the receipts and payments and the balances.

(3) The board of trustees shall meet at least once every three months and shall function in accordance with the guidelines issued by the Central Government or the Central Provident Fund Commissioner and the minutes of the meeting of the board of trustees shall be submitted to the Regional Provident Fund Commissioner in **Form-III**.

(4) The employer of an exempted establishment shall comply with sections 16, 125, 128 and 129 of the Code, in addition to conditions specified in the notification granting exemption and any contravention shall attract penalties provided under section 133 of the Code.

(5) The employer shall pay inspection charges at the rate notified by the Central Government.

(6) The employees who would have been eligible to become members of the Provident Fund, had the establishment not been granted exemption, shall be enrolled as members.

(7) The employer shall transfer contributions payable by the employer and employees to the board of trustees by the 15th of each month following the month for which contributions are due, failing which the employer shall be liable for interest and damages under sections 127 and 128 of the Code.

(8) The employer shall bear the expenses of administration of the Provident Fund and make good any loss caused to the Trust Fund.

(9) The board of trustees shall declare the rate of interest annually, commensurate with the income earned for the said year, and the same shall not exceed 200 basis points above the rate of interest declared by the Central Government.

(10) The interest shall be credited to the account of each member on the monthly running balance of the member and any deficiency shall be made good by the employer.

(11) The employer shall circulate the rules of the Fund to the employees electronically, along with a translation thereof in the language of the majority of the employees.

(12) The trustees shall maintain accounts electronically, issue annual statements within two months of the close of the financial year and provide facilities for employees to access their balances online.

(13) Any amendment in the rules made by the employer which is more beneficial than the existing rules of the establishment shall automatically apply to the employee and shall be informed to the Regional Provident Fund Commissioner.

(14) The employer shall inform the Regional Provident Fund Commissioner of any rule that does not appear to be more beneficial than the existing rules of the establishment and thereupon, a reasoned order shall be passed by the Regional Provident Fund Commissioner after issuing a notice to both the employer and the employee.

(15) All claims for withdrawals, advances and transfers shall be filed electronically in the manner specified by the Central Provident Fund Commissioner.

(16) The establishment shall provide facilities for online claim settlement which shall be settled within the time limit specified in this Scheme.

(17) The board of trustees shall maintain detailed electronic account showing contributions credited, withdrawals made and interest accrued and the establishment shall periodically transmit the same to the account of the member electronically.

(18) The board of trustees and the employer shall file electronically the monthly and annual returns as specified by the Central Provident Fund Commissioner, failing which the employer and the board of trustees shall be issued a notice for improvement in the first instance, after which in case of subsequent contravention, a fee of two hundred rupees per day and in case of further contraventions, a fee of five hundred rupees per day shall be levied, subject to a maximum of the inspection charges payable for the month to which such return relates to.

(19) The board of trustees shall invest the Fund as per the directions of the Central Government and failure to comply shall render the employer and the board of trustees jointly and severally liable to surcharge as may be fixed by the Central Provident Fund Commissioner.

(20) The securities shall be obtained in the name of the trust and shall be in the dematerialised form.

(21) A scrip-wise register shall be maintained to ensure timely realisation of interest.

(22) A dematerialised account shall be opened through depository participants approved by the Securities Exchange Board of India.

(23) The costs of maintaining the dematerialised account and other investment costs shall be treated as incidental costs of investment by the trust.

(24) All investments, including securities and bonds shall be lodged with depository participants approved by the Securities and Exchange Board of India who shall act as custodian and on closure or liquidation of the establishment or cancellation of exemption from this Scheme, employer shall transfer the investments standing in the name of the trust to the concerned Regional Provident Fund Commissioner in cash.

(25) The exempted establishment shall intimate to the concerned Regional Provident Fund Commissioner, the details of the depository participants with whom investments are lodged and the board of trustees may raise sums required for obligatory expenses, such as settlement of claims, grant of advances, transfer of accumulations or cancellation of exemption, subject to online intimation to the Regional Provident Fund Commissioner.

(26) Any commission, incentive, bonus or other pecuniary rewards received from financial institutions for investments made by the trust shall be credited to the trust account.

(27) At the time of grant of exemption, the employer and the board of trustees shall furnish a written undertaking to the Regional Provident Fund Commissioner in **Form-IV**, to abide by the conditions and such undertaking shall be legally binding on the employer, the board of trustees and their successors and assignees.

(28) The employer and the board of trustees shall undertake to transfer funds promptly within the time limit specified by the Regional Provident Fund Commissioner.

(29) In event of retrospective cancellation or withdrawal of relaxation orders, no damages or interest shall be levied provided there is no delay in transfer of funds from the establishment to the board of trustees or transfer of accumulations to the credit of each employee, surplus or reserves to the Employees' Provident Fund Organisation.

(30) The employer and the board of trustees shall transfer the cumulative balance in any Inoperative Account and non-KYC (Know Your Customer) account along with interest to the Employees' Provident Fund Organisation within a month.

(31) The accounts of the Provident Fund shall be audited annually by a chartered accountant and the Regional Provident Fund Commissioner may order a re-audit where necessary and the same auditor shall not be appointed for two consecutive years and not for more than two years in a block of six years.

(32) The report of the auditor and audited balance sheet shall be submitted electronically within six months from the close of the financial year.

(33) The accounting format shall be determined by the Central Provident Fund Commissioner in consultation with the Institute of Chartered Accountants of India.

(34) The exemption shall be cancelled as a last measure in case of violation of conditions, including where the rate of contribution or interest declared is inferior to that under the Code or claims are not settled within the specified time, but shall not be cancelled where deficiencies are rectified within the time given in the improvement notice and may also be cancelled in the event of closure or liquidation of the establishment.

(35) Any loss to the trust due to fraud, defalcation, or wrong investment decisions shall be made good by the employer and principal or interest losses shall be recouped within two months from the date of loss or the end of the financial year, whichever is earlier.

(36) On cancellation or surrender of exemption, all accumulations, surplus, reserves and employee balance shall be transferred to the Employees' Provident Fund Organisation.

(37) Where a merger, demerger, acquisition, sale, amalgamation, or formation of a subsidiary occurs, exemption status shall be governed by the order of the competent legal forum and the employer of the new establishment shall be at liberty to continue exemption or surrender exemption by following the procedure specified by the Central Provident Fund Commissioner.

(38) Where more than one unit participates in a common provident fund trust granted exemption, the employers and all trustees shall be jointly and severally liable for any default.

(39) The order of exemption shall be initially for a period of three years and renewal of exemption shall be based on application by the employer and the trust and shall normally be automatic, if conditions continue to be satisfied, provided the net worth of the establishment is positive during each of the last three years.

(40) The establishments with exemption under the repealed Act shall apply for continuation within two years from the date of notification of the Social Security (Central) Rules, 2026 specifying eligibility conditions for grant of exemption.

14. Composition of board of trustees. —(1) The board of trustees of an establishment granted exemption shall consist of not less than two and not more than six representatives, each of the employers and the employees:

Provided that in case of a common provident fund for a group of two or more establishments, there shall be at least one representative from each participating establishment.

(2) The employer shall nominate representatives on the board of trustees from among the officers employed in managerial capacity.

(3) The representatives of employees on the board of trustees shall be nominated or elected in the following manner namely: —

- (a) where a union is recognised by the employer under the Code of Discipline in industry or under any other Act, such union shall nominate the representatives of employees;
- (b) where more than one trade union is recognised by the employer, the representatives of employees shall be elected by members of the unions in an election held for the purpose on a working day;
- (c) where no union is recognised but more than one registered union functions in the establishment, the union having the largest membership, subject to a minimum of fifteen per cent, shall have the right to nominate representatives; and
- (d) where there is only one registered union, it shall have the right to nominate representatives provided it has a minimum of fifteen per cent membership.

(4) The employer shall be the Chairperson of the board of trustees and in the event of equality of votes, the Chairperson shall exercise a casting vote.

(5) The term of office of a trustee shall be five years from the date of election or nomination.

(6) An outgoing trustee shall be eligible for re-election or re-nomination and a trustee elected or nominated to fill a casual vacancy shall hold office for the remainder of the term of the trustee in whose place the election or nomination was made.

(7) A person shall be disqualified from being a trustee, if such person—

- (i) is declared to be of unsound mind by a competent court;
- (ii) has been convicted of an offence involving moral turpitude;
- (iii) is an undischarged insolvent; or
- (iv) is an employer of an exempted or un-exempted establishment that has defaulted in payment of any dues under the Code.

(8) A person shall cease to be a trustee, if such person—

- (i) ceases to be an employee of the establishment;
- (ii) ceases to be a member of the provident fund of the establishment;
- (iii) represents a union which ceases to be recognised by the employer; or
- (iv) fails to attend three consecutive meetings of the board without obtaining leave of absence from the Chairperson, unless the Chairperson is satisfied that reasonable grounds existed for such absence.

(9) The procedure for election or nomination of trustee, quorum at meetings, records of business transactions and other matters not specifically provided for in this Scheme shall be regulated by the approved provident fund rules of the establishment and by guidelines for the functioning of board of trustees of exempted establishments as may be specified by the Commissioner.

(10) Where any dispute or doubt arises, the matter shall be referred to the Regional Provident Fund Commissioner having jurisdiction over the head office of the establishment, whose decision shall be final and binding.

15. Extension of exemption. — (1) The order of exemption together with its conditions shall initially operate for a period of three years from the date of publication of such notification.

(2) An application for extension of exemption under section 143 of the Code shall be made on the specified portal at least six months before expiry of the exemption.

(3) The exemption shall stand renewed, provided that the condition for the grant of the exemption continues to be satisfied by the establishment and the Trust.

(4) The renewal shall remain in operation so long as the condition for the grant of exemption continues to be satisfied and the net worth of the establishment does not remain negative for three or more consecutive years.

(5) The renewal shall remain in operation until the establishment applies for cancellation or surrender of exemption and such application is accepted or until the Central Government issues a reasoned order specifying a date beyond which the renewal shall cease to operate and be void:

Provided that no such order shall be made by the Central Government without affording the establishment an opportunity of being heard.

16. Cessation and surrender of exemption. —(1) Notwithstanding anything contained in this Scheme, the employer of an exempted establishment, whether exempted for all employees, a class of employees or any employee under Chapter III of the Code, as the case may be, may make an application to the appropriate Government for the surrender of exemption granted, irrespective of whether condition of exemption has been violated or not:

Provided that before making an application, the establishment and the concerned Regional Provident Fund Commissioner shall issue a public notice to this effect for the information of the employees.

(2) The appropriate Government may, on receipt of such application, allow the employer to remit contributions into the Fund from the date specified in the application and process the application for cancellation of exemption:

Provided that the Regional Provident Fund Commissioner may permit the employer and the board of trustees to transfer accumulation of each employee, together with past accumulations, surplus and reserves from the fund referred to in sub-section (5) of section 143 of the Code, to the Fund.

(3) The employer and the board of trustees shall transfer the accumulations of each employee, together with surplus and reserves, from the exempted fund to the statutory fund under this Scheme, pending issuance of the cancellation order by the appropriate Government and thereupon such exempted employee shall become member of the Fund.

(4) No employee or class of employees shall be granted exemption or permitted to opt out of exemption more than once on the same account.

(5) No establishment shall be granted exemption or permitted to apply for exemption more than once on same account within a period of ten years.

(6) At the time of a subsequent request for exemption, the establishment shall demonstrate compliance with the condition for grant of exemption for a continuous period of three years preceding the date of such request.

17. Transfer of accumulation from existing provident fund. —

(1) Every authority in charge of, or entrusted with, the management of, any provident fund whose accumulations are to be transferred to the Fund under this Scheme shall—

(i) send to the Commissioner, within twenty-five days of the application of this Scheme or cancellation of exemption, a statement showing the amount standing to the credit of each subscriber on the date of the transfer, the total accumulations to the credit of subscribers generally on that date and the advances, if any, taken by the subscribers;

(ii) transfer to the Fund, in the manner specified in sub-paragraph (2), the total accumulations standing to the credit of the subscribers in relation to each establishment within ten days of the application of this Scheme or cancellation of exemption, in case of liquid cash in bank and within thirty days in case of securities; and

(iii) transfer to the Central Board all pass books, books of account and other documents relating to the said accumulations.

(2) All accumulations standing to the credit of the subscribers, howsoever invested, shall be transferred to the Fund in cash :

Provided that if the whole or any part of such accumulations is invested in National Savings Certificates or National Plan Savings Certificates, the appreciated value of such certificates at the time of the transfer shall be taken into account in determining the amount of the accumulations to be transferred, provided that the difference between the face value of such certificate and their appreciated value at the time of the transfer has already been credited to the accounts of the subscribers:

Provided further that where the whole or any part of such accumulations consists of investments in securities, the Central Government may, in exceptional cases, allow acceptance of the transfer of such securities at the price for which they were actually purchased.

Explanation: For the removal of doubts, the total amount of provident fund accumulation includes interest thereon and the authority in charge of the Fund shall transfer in cash any balance of interest on investments which remains undistributed on the date of the transfer or realised or realisable for the period prior to the registration of the securities in the name of the Central Board.

- (3) Any cash transferred under sub-paragraph (2) shall be deposited in the bank account of the Central Board.
- (4) The accumulations transferred to the Fund in accordance with this paragraph shall be credited to the account of each of the members of the Fund to the extent to which he may be entitled, having regard to the statement furnished by the authority.

CHAPTER V

CONTRIBUTIONS AND CHARGES

18. Contributions. — (1) The contribution payable under this paragraph in respect of a member shall comprise of contribution payable by the employer (hereinafter referred to as the employer's contribution) and contribution payable by the employee (hereinafter referred to as the employee's contribution).

- (2) The employer's contribution, under this Scheme shall be at the rate of twelve per cent of the wages payable to the employee, to whom this Scheme applies and the employees' contribution shall be equal to the employer's contribution in respect of such employee:

Provided that the rate of contribution shall be ten per cent in respect of the class of establishments notified by the Central Government in this regard:

Provided further that the Central Government, after making such inquiry as it deems fit, may, by notification, specify rates of employees' contributions and the period for which such rates shall apply for any class of employee:

Provided also that the Central Government may by order, defer or reduce the employer's contribution, or employee's contribution, or both, for a period up to three months at a time, for whole of India or part thereof in the event of pandemic, endemic or national disaster.

(3) The contribution payable in respect of a member shall be subject to the wage ceiling limit, notified by the Central Government from time to time:

Provided that subject to the provisions contained in sub-paragraph (4) of paragraph 9, where the monthly wage of such a member exceeds the wage ceiling, the employer and employee's contribution shall be limited to the contribution payable on the wage ceiling:

Provided further that an employer may make such contribution for wages beyond the wage ceiling to the Pension Fund in respect of such cases, which have been permitted for contribution on higher wages under the Employee's Pension Scheme, 1995.

(4) The contributions shall be calculated on the basis of wages actually drawn or payable during the month whether paid on a daily, weekly, fortnightly or monthly basis.

(5) Each contribution shall be calculated to the nearest rupee, with fifty paise or more to be counted as the next higher rupee and fraction of a rupee less than fifty paise to be ignored.

Explanation: - For the removal of doubts, in case, wages are paid in a currency other than the Indian Rupee, the rate of conversion of that currency shall be the telegraphic transfer buying rate offered by the State Bank of India established under the State Bank of India Act, 1955 (23 of 1955) for buying such currency on the last working day of the month for which the wages are due.

19. Additional voluntary contributions. — (1) Notwithstanding anything contained in this scheme, an employee may opt to contribute on a voluntary basis, an additional contribution on wages exceeding the statutory wage ceiling at statutory rate or at any rate in excess of statutory rate and the employer shall accordingly transfer such voluntary contributions to the Commissioner through the Electronic Challan-cum>Returns:

Provided that the additional voluntary contributions shall not exceed wages after such deductions as permitted under sub-section 2 of section 18 of the Code.

(2) The employer may if he so desires, make a matching contribution on such employees' voluntary contribution; however the employer shall be under no obligation to match the additional voluntary contributions made by employee under this paragraph.

(3) The employer shall be liable to pay additional administrative charges on such wages, on which voluntary contributions are paid under this paragraph.

(4) The employee or employer may at any time, opt to reduce or stop making such additional voluntary contributions.

(5) Any voluntary contribution by the employer shall be credited to the Provident Fund.

20. Responsibility for payment of contribution. — (1) The employer shall, in the first instance, pay both the employer's contribution and the employee's contribution, together with administrative charges or other fees or charges

payable under this Scheme in respect of an employee directly employed by him or through a contractor [in respect of such establishment, which is not registered independently], within fifteen days of the close of every month in the manner specified by the Central Board.

- (2) In respect of an employee employed by or through a contractor, [in respect of such establishment, which is not registered independently], the contractor shall recover the contribution payable by such employee and pay to the principal employer, the amount of member's contribution so deducted together with an equal amount of contribution.
- (3) It shall be the responsibility of the principal employer to pay both the contributions, together with administrative charges, payable in respect of the employees directly employed as specified in sub-paragraph (1) and those employed by or through a contractor, as specified in sub-paragraph (2).
- (4) Notwithstanding anything contained herein, the principal employer shall remain responsible to pay contributions and administrative charges or other fee in respect of an employee directly employed by him or through a contractor.

21. Employer's share not to be deducted from members. — Notwithstanding any contract to the contrary, the employer shall not be entitled to deduct the employer's contribution from the wages of a member or otherwise to recover it from him.

22. Recovery of member's share of Contributions. — (1) The amount of a member's contribution paid by the employer or a contractor shall, notwithstanding the provisions in this Scheme or any law for the time being in force or any contract to the contrary, be recoverable by means of deduction from the wages of the member and not otherwise:

Provided that no such deduction shall be made from any wages other than which is paid in respect of the period or part of the period in respect of which the contribution is payable:

Provided further that the employer or a contractor may recover the share of employee from wages other than those paid in respect of the period for which the contribution has been paid or is payable, in writing, given a false declaration at the time of joining service that the employee was not already a member of the Fund:

Provided also that where no such deduction has been made on account of an accidental mistake or a clerical error, such deduction may with the consent in writing of the Inspector-cum-Facilitator, be made from the subsequent wages.

- (2) Deductions made from the wages of a member paid on a daily, weekly or fortnightly basis shall be totalled to indicate the monthly deductions.
- (3) Any sum deducted by an employer or a contractor from the wages of an employee under this Scheme shall be deemed to have been entrusted to the employer or contractor for the purpose of paying the contribution in respect of which it was deducted.

23. Levy and Recovery of damages for default. — (1) Where any employer makes default—

- (a) in the payment of any contribution to the Fund, which they are liable to pay in accordance with the provisions of Chapter III of the Code; or
- (b) in the transfer of accumulations required to be transferred under sub-sections (8) and (9) of section 143 of the Code; or

(c) in the payment of any charges payable under the provisions of this scheme or under any of the conditions specified in section 143 of the Code,

the Central Provident Fund Commissioner or such other officer as may be authorised by the Central Government may levy an amount and recover from the employer, by way of damages at the rates specified in the Table below, not exceeding the amount of arrears.

Sl. No.	Period of default	Rate of Damages (Percentage of arrears per month)
1	Less than two months	0.25%
2	More than two months and less than four months	0.50%
3	More than four months	1%

(2) The damages specified under sub-paragraph (1) shall also apply in case of any default specified under paragraph 32-A of the Employees' Provident Funds Scheme, 1952 with effect from the 14th June, 2024.

CHAPTER VI

RESPONSIBILITIES, FORMS & RETURNS

24. Duties of employers. — (1) Every employer shall, within fifteen days of the application of this Scheme to the establishment, send to the Commissioner a consolidated return in **FORM V**:

Provided that if there is no employee, who is required or entitled to become a member of the Fund, the employer shall file a 'Nil' return.

(2) Every employer shall, within fifteen days of the close of each month, upload electronically on the designated portal,-

- (i) details of the employees qualifying to become members of the Fund for the first time during the preceding month
- (ii) details of the employees enrolled as members of the Fund upon joining employment in his establishment consequent upon transfer from another establishment during the preceding month by way of linkage of UANs in respect of such employees with the establishment.
- (iii) The employer shall facilitate generation of UAN by any employee, in case the employee fails to do so on the portal, to which the member account shall be linked.
- (iv) Every employer shall, upon an employee becoming a member of the Fund provide digital facility and technical support as may be required, to every such member to download the e-Passbook made available electronically by the Central Board.

- (v) Every employer shall, within fifteen days of the close of each month, upload electronically on the designated portal details of the employees leaving the service of the employer during the preceding month.
 - (vi) Every employer in relation to an establishment to which the Code applies shall file an ownership return after registration of the establishment in **FORM VI** containing details of occupiers, directors, partners, manager or any other person, who has the ultimate control over the administration of the establishment along with documentary proof for authenticating identity on the portal specified for the purpose.
 - (vii) Every employer in relation to an establishment to which the Code applies shall file such particulars relating to ownership in sub-paragraph (6), within fifteen days of such change on the portal specified for the purpose;
 - (viii) The employer shall display the extract of the ownership return at the entrance of the establishment and on the website;
 - (ix) The employer shall upload within fifteen days of close of the month details relating to contributions payable in respect of each employee on the designated portal through Electronic challan-cum-Return in **Form-VII** and thereafter pay the dues as specified under sub-paragraph 3 of paragraph 28 of this Scheme.
 - (x) An employer of an establishment shall maintain records and registers in the form prescribed by the appropriate Government, electronically or otherwise, containing such particulars and details concerning persons employed, muster roll, wages and other particulars including those listed in clause (a) of section 123 of the Code.
 - (xi) The employer shall make all registers and books of accounts, relating to the details of employees or workers and payments made to them maintained under any other law for the time being in force, available electronically under due authentication or shall provide physical record for verification to Inspector-cum-Facilitator appointed under the Code at the time of inspection of the establishment.
 - (xii) Every employer shall, whenever the Commissioner or any other officer authorised by him on his behalf or an Inspector-cum-Facilitator so requires, produce the records of any employee employed by him and if so required, he shall deliver such records to the Commissioner or officer so authorised or Inspector-cum-facilitator, as the case may be, in accordance with the procedure envisaged under the inspection scheme, who may, if he deems necessary, retain the records with due acknowledgement.
- (3) In the case of an international worker,—
- (i) every employer shall, within fifteen days of the application of this Scheme to the establishment, send to the Commissioner a consolidated return in the form specified by the Commissioner, containing details of International Workers indicating the nationality of each International Worker distinctly, required or entitled to become members of the Fund, showing the wages paid to each such International Worker:
Provided that if there is no International Worker required or entitled to become a member of the Fund, the employer shall file a 'Nil' return;
 - (ii) every employer shall, within fifteen days of the close of each month, upload in electronic mode on the portal specified for the purpose,—
 - (a) details of International Workers qualifying to become members of the Fund for the first time during the preceding month;
 - (b) details of International Workers enrolled as members of the Fund upon joining employment in the establishment, consequent upon transfer from another establishment during the preceding month;

- (c) details of International Workers leaving the service of the employer during the preceding month.

(4) Notwithstanding anything hereinbefore contained in this paragraph, the Central Board may issue such directions to employers generally as it may consider necessary or proper for the purpose of implementation of this Scheme, and it shall be the duty of every employer to carry out such directions.

25. Duties of employee. — (1) Every person who is required or entitled to become a member of the Fund shall furnish to the employer or the Employees' Provident Fund Organisation, as the case may be, particulars concerning himself including Aadhaar Number as defined in clause (a) of section 2 of the Aadhaar (The Targeted Delivery of Financial and Other Subsidies, Benefits and Services) Act 2016, an Aadhaar seeded Bank account number of any scheduled Bank in India, or Co-operative Bank, the Permanent account Number issued under the Income Tax Act, 2025 (30 of 2025) and the Universal Account Number.

(2) Every person who is required or entitled to become a member of the Fund shall furnish to the Commissioner, particulars concerning his family members including Aadhaar Number, for purpose of nomination on the portal specified for the purpose.

(3) Every person who is required or entitled to become a member of the Fund shall furnish particulars of his past employment or membership under the Code or the Employees' Provident Fund and Miscellaneous Provisions Act, 1952 or any other recognised provident Fund on the portal specified for the purpose.

26. Employer to furnish particulars of ownership and authorised signatories. — (1) Every employer of a registered establishment shall, —

(i) submit **FORM VIII** containing details of the branches and departments, and the person/persons having ultimate control over the administration of the branch along with documentary proof for authenticating the identity of such person/persons, who has/have ultimate control over the administration of the establishment;

(ii) authorise not more than five persons from amongst the employees of the establishment, to sign documents and submit returns on behalf of the employer and details of such authorisation shall be submitted in **FORM -IX**:

Provided that in case of closure, liquidation or similar circumstances, where another person discharges the duties and responsibilities of the employer, such person may authorise any person, including a person not being an employee of the establishment, as an authorised signatory;

(iii) notwithstanding such authorisation, the employer or any other person discharging the duties and responsibilities of the employer, as the case may be, shall remain responsible under the provisions of the Code and this Scheme.

(iv) furnish change in particulars of ownership and authorised signatories every financial year or as and when there is any change or in advance, as the case may be, within thirty days of such change: